For example, we anticipate that funds may be able to deliver the proposed shareholder reports as a trifold mailing, which would only incrementally increase the printing and mailing costs of a rule 30e-3 notice. One commenter estimated that a concise shareholder report would be approximately $0.01 more expensive to print than a rule 30e-3 notice.[801] We estimate that this cost increase would be less than the estimated decline in the cost of processing fees, as discussed in Section III.C.2.d, above. Moreover, to the extent a fund shareholder invests in multiple of a registrant's funds and these funds would use a single shareholder report absent the proposal, the amendments may increase printing and mailing costs a negligible amount in some instances if certain disclosures across the funds otherwise are the same. In addition, some funds that choose to rely on proposed rule 498B may send more notices of material changes to certain prospectus items in some years than the number of annual prospectus updates and stickers they would deliver to shareholders without the proposal. Since funds would have the option to rely on proposed rule 498B, however, we expect that funds would likely rely on 498B where it would reduce their average annual costs. That is, we understand that cost is a consideration for funds and that the cost differences may be sufficient in this instance to influence their choice.

Table 8. Potential effects on delivery of shareholder reports and prospectus updates under the proposal vary according the baseline preferences and requests of the affected funds and fund shareholders.*

Table 8.1 - Semi-annual report. (Effect of proposal to modify the semi-annual report delivery)			
Fund relies on rule 30e-3?	**Shareholder requests electronic delivery**	**Shareholder requests paper delivery under rule 30e-3**	**Shareholder makes no delivery election**
Yes	Email (with link to 3-4 page trifold tailored report) replaces email	Paper mail (3-4 page) trifold tailored report replaces paper mail of 116 page semi-annual report	Paper mail (3-4 page) trifold tailored report replaces paper (1 page) of notice with link to 116 page semi-annual report

[801] *See* Broadridge Comment Letter II.

	(with link to 116 page report)	(Printing and mailing cost decrease)	(Printing and mailing cost increase and processing fee decrease)
No	Email (with link to 3-4 page report) replaces email (with link to 116 page report)	N/A	Paper mail (3-4 page) trifold replaces paper mail (116 page) report (Printing and mailing cost decrease)

Table 8.2 - Annual report. (Effect of proposal to modify the annual report delivery)

Fund relies on rule 30e-3?	**Shareholder requests electronic delivery**	**Shareholder requests paper delivery under 30e-3**	**Shareholder makes no delivery election**
Yes	Email (with link to 3-4 page report) replaces email (with link to 134 page report)	Paper mail (3-4 page) trifold replaces paper mail (134 page) report (Printing and mailing cost decrease)	Paper mail (3-4 page) trifold replaces paper (1 page) notice with link to 134 page report (Printing and mailing cost increase and processing fee decrease)
No	Email (with link to 3-4 page report) replaces email (with link to 134 page report)	N/A	Paper mail (3-4 page) trifold replaces paper mail (134 page) report (Printing and mailing cost decrease)

Table 8.3 – Annual prospectus update. (Effect of proposal to permit funds to replace the delivery of annual prospectus updates and prospectus stickers with notices of certain material changes (proposed rule 498B), assuming that they exercise this option)

Fund uses summary prospectus (rule 498)?	**Shareholder requests electronic delivery?**	
	Yes	***No***
Yes	Eliminate email (with link to 8 page summary prospectus update, annual) (Processing fee decrease)	Eliminate paper mail (8 page) summary prospectus update, annual (Printing and mailing cost decrease)
No	No change expected but, if a fund relies on rule 498B under these circumstances, it would eliminate email with link to statutory prospectus update (annual), which would decrease processing fees for the fund	No change expected but, if a fund relies on rule 498B under these circumstances, it would eliminate paper mail (128 page) statutory prospectus update, (annual), which would decrease printing and mailing costs for the fund

Table 8.4 – Other prospectus updates. (Effect of proposal to permit funds to replace the delivery of other prospectus updates or prospectus stickers, with notices of certain material changes (proposed rule 498B), assuming that they exercise this option)

Is fund change material, as described in rule 498B?	**Shareholder requests electronic delivery?**	
	Yes	***No***

Yes	Email with notice of a material change delivered within 3 business days replaces potentially less timely email of prospectus update or sticker in some instances	Paper mail of notice of a material change delivered within 3 business days replaces potentially less timely paper mail of prospectus update or sticker in some instances
No	May eliminate email of prospectus update or sticker in some instances	May eliminate paper mail of prospectus update or sticker in some instances

Notes: The costs and benefits of the proposed modification to shareholder report and prospectus delivery under the proposed rules would vary across the baseline delivery scenarios – *i.e.*, the scenario that would be in place at the time of the proposed rule implementation if the current rules were to remain in place – that are shown in the table. Some of the cost and benefits would be transitional and others would be sustained, and each would depend on factors beyond what appears in the table, as discussed in Sections III.C.2.c and III.C.2.e, below. In addition, under the proposal, shareholders may request delivery of paper or electronic copies of the documents that funds would be required to make available online.

As a further delivery-related cost, funds would incur costs under the proposed requirements in rule 30e-1 and rule 498B to deliver certain materials to shareholders upon request. The extent of these costs would depend on how many shareholders prefer the current delivery framework in which they receive additional shareholder report information or annual prospectus updates, how many of these shareholders would prefer to request these materials directly (*e.g.*, in paper) instead of accessing them online, and whether the shareholders request paper or electronic copies of these materials. We estimate that funds would incur average annual printing and mailing costs of $500 per fund to deliver materials upon request under the proposed amendments to rule 30e-1.[802] For funds that choose to rely on proposed rule 498B,

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802 *See infra* Section IV.C. Because we do not have specific data regarding the cost of printing and mailing the materials that must be provided on request, for purposes of our analysis we estimate $500 per year for each fund to collectively print and mail such materials upon request. Investors could also request to receive these materials electronically. We estimate that there will be negligible external costs associated with emailing electronic copies of these documents.

we estimate average annual printing and mailing costs of $500 per fund to deliver prospectuses and related materials upon request under that rule.[803]

In addition to delivery-related costs, fund would experience other costs under the proposal, including both transition costs and ongoing costs. These other costs would result from proposed changes to the scope and contents of shareholder reports, new Form N-CSR items, new website availability requirements, amendments to the scope of rule 30e-3, and preparation of notices of material changes under proposed rule 498B. The compliance costs associated with proposed rule 498B would only affect funds that choose to rely on that rule, and the compliance costs associated with the amendments to rule 30e-3 would only affect funds that rely on that rule or were planning to rely on that rule. The other categories of compliance costs would affect all funds. These different categories of costs could be reflected in fund expenditures that funds could pass on to shareholders, likely in proportion to their participation in the fund. The expenditures could be to procure the services of third parties for the purpose of implementing the changes to fund disclosure and delivery practices under the proposal, as we understand some funds utilize outside providers for these compliance responsibilities.

Funds would experience transition costs to modify their current shareholder report disclosures. Specifically, funds would incur costs to modify their shareholder reports to comply with the proposed scope and content requirements. We estimate that the initial costs to funds of modifying their annual shareholder report disclosure would be $150,111,360 in

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[803] *See infra* Section IV.D; *see also supra* footnote 802.

aggregate costs and $41,697,600 annually thereafter.[804] We estimate that the initial costs to funds of modifying their semi-annual shareholder report disclosure would be $75,055,680 in aggregate costs and $20,848,800 annually thereafter.[805] Initial costs would include costs associated with designing the concise shareholder reports, amending the scope of shareholder reports to cover a single fund series, implementing any operational changes needed to prepare and deliver separate shareholder reports for different fund series, revising existing disclosure practices for shareholder report items that the proposal would amend (*e.g.*, management's discussion of fund performance, including the proposed clarification of the term "appropriate broad-based securities market index," as well as the expense presentation), and developing disclosures for the proposed new shareholder report items (*i.e.*, fund statistics and material fund changes). The ongoing costs would largely be attributed to the costs of preparing new shareholder report disclosure items under the proposal, since funds already incur the costs of preparing the other shareholder report disclosures today. To the extent that the proposed clarification of the term "appropriate broad-based securities market index" causes funds to select a new index for this disclosure purpose, this could result in additional costs to funds in

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804 The estimated initial cost for the proposed annual reports is based on the following calculations: 36 hours x $336 (blended wage rate for compliance attorney and senior programmer) = $12,096 per fund. 12,410 funds x $12,096 = $150,111,360. The estimated annual cost for the proposed annual reports is based on the following calculations: 10 hours x $336 (blended wage rate for compliance attorney and senior programmer) = $3,360 per fund. 12,410 funds x $3,360 = $41,697,600. *See infra* Section IV.C.

805 The estimated initial cost of the proposed semi-annual reports is based on the following calculation: 18 hours x $336 (blended wage rate for compliance attorney and senior programmer) = $6,048 per fund. 12,410 funds x $6,048 = $75,055,680. The estimated annual cost for the proposed semi-annual reports is based on the following calculations: 5 hours x $336 (blended wage rate for compliance attorney and senior programmer) = $1,680 per fund. 12,410 funds x $1,680 = $20,848,800. *See infra* Section IV.C.